2. The following balance sheet has been prepared from the books of Pearl on 1-4-2018.

Liabilities	₹	Assets	₹
Capital	1,60,000	Buildings	40,000
Sundry creditors:		Furniture	20,000
Maya A/c	20,000	Stock	10,000
		Sundry debtors	
		Peter	20,000
		Cash in hand	30,000
		Cash at bank	60,000
	1,80,000		1,80,000

During the year the following transactions took place.

(a) Wages paid by cash ₹ 4,000
(b) Salaries paid by cheque ₹ 10,000
(c) Cash purchases made for ₹ 4,000
(d) Good purchased on credit from Yazhini ₹ 30,000
(e) Goods sold on credit to Jothi ₹ 40,000
(f) Payment made to Yazhini through NEFT ₹ 6,000
(g) Cash received from Peter ₹ 10,000
(h) Cash sales made for ₹ 4,000
(i) Depreciate buildings at 20%
(j) Closing stock on 31.03.2019 ₹ 9,000

You are required to prepare trading and profit and loss account for the year ended 31-03-2019 and a balance sheet as on that date using Tally.

CASE STUDY

Venkat has been running a large departmental store for more than 20 years. The customers are happy with the quality and service. As a result, he opened few more departmental stores in different areas. He has now more than 50 employees working in his stores. He has been maintaining all the records manually. As the business expanded, Venkat found it difficult to manage the business efficiently. His daughter Latha, who has recently completed her Master of Commerce, wanted to help her father in his business. She identified the following issues:

- Some of the inventories are missing, but there is no evidence for that.
- Payments to the suppliers were delayed, though the cash flow was not a problem.
- Some of the products were over supplied in all the stores.
- In the recently opened branches, some highly demanded products were out of stock.
- There has been no control over the expenditure.

Latha thinks, if this situation continues, the business may lose its reputation and may even incur loss. To overcome these issues, she strongly feels the need for computerised accounting system.

Do you think, these issues can be solved easily with the help of CAS? If you think so, justify your view.

To explore further

Is Tally the only Accounting software available? Explore and find out few more Accounting software applications

Reference

Official Guide to Financial Accounting using Tally.ERP 9, Tally Education Private Limited, BPB Publications, Bengaluru

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